

Research Briefing | UK

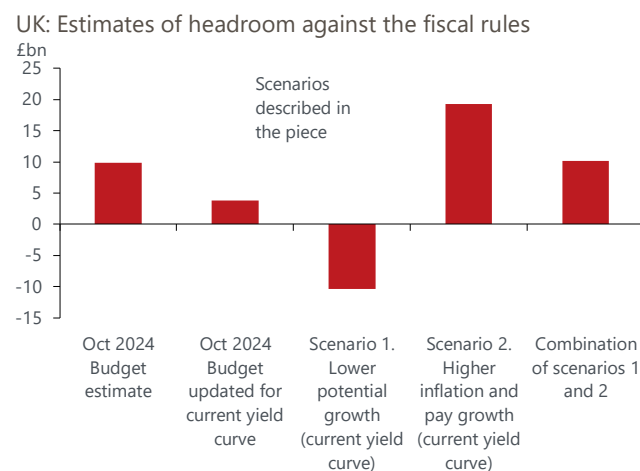
Two fiscal wild cards in the Spring Forecast

- Approaching the UK Spring Forecast, we estimate that the rise in bond yields has already eroded more than half the government's £9.9bn headroom against the fiscal rules laid out in the late-2024 Budget. But there are two plausible wild cards in the Office for Budget Responsibility's economic forecast that could shift its assessment of the fiscal outlook markedly either way.
- On one side, a downward revision to the OBR's potential growth forecast for 2025-29 to match the consensus could require the government to implement roughly £20bn of fiscal tightening if it wishes to keep fiscal headroom at £9.9bn.
- On the other side, a higher near-term inflation forecast and different split of nominal GDP (higher pay, lower profits) over the next five years – again, bringing the OBR more in line with external forecasts – could leave the government with ample headroom, even with the rise in bond yields. This could allow extra public spending or the scaling back of planned tax hikes.
- Both these forecast changes would be justified, in our view. In the Spring Forecast, the OBR may do one or the other, some combination of them, or it may do neither and choose to wait for more evidence.
- The fiscal consequences of even a modestly lower potential growth forecast without other offsetting forecast changes would be large and painful. So, if it is leaning towards a lower potential growth outlook, the OBR may use the Spring Forecast to warn that this is under consideration for the late-2025 Budget, to give the government time to consider the appropriate policy response.

The government currently has two [fiscal rules](#): the current budget – revenues minus day-to-day spending – to be in surplus by 2029-2030, and the public debt-to-GDP ratio (measured by public sector net financial liabilities) to fall as a share of GDP by 2029-2030. In the late-2024 Budget, the Office for Budget Responsibility projected that the government had £9.9bn headroom against these rules.

We estimate that the rise in gilt yields and the market path for interest rates since then has eroded £6.1bn of that £9.9bn fiscal headroom. But there are other aspects of the OBR's economic forecast that also look questionable, and where forecast changes could markedly alter its judgement on whether the government is on track to meet the fiscal rules.

Chart 1: Changes to the OBR's economic outlook could significantly alter fiscal headroom



Source: Oxford Economics / Haver Analytics

Wild card 1: Will the OBR lower the potential growth forecast?

The first wild card is that, as well as cutting its near-term growth outlook, which is likely, the OBR might also cut its potential growth forecasts, which are a key driver of its fiscal outlook.

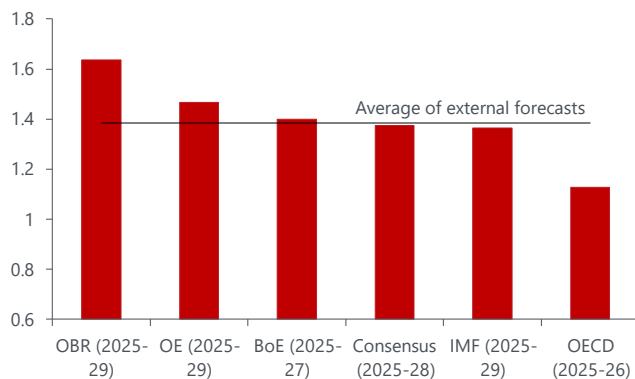
The OBR's forecast approach essentially judges whether, with the government's tax and spending plans, the fiscal rules will be met if GDP matches potential at the end of its five-year forecast horizon. Since end-2013, the OBR has always assumed the output gap is small four years ahead and at (or very close to) zero five years ahead. With this framework, changes in the OBR's cyclical outlook (i.e. the growth outlook for the next year two) – with no change to potential output – have very little implication for its verdict on the fiscal rules, which are judged five years ahead. Provided the potential growth forecast is unchanged, the OBR will assume that lower near-term growth will be mirrored in stronger growth subsequently, so that GDP catches up with potential output by the five-year forecast horizon. The OBR's fiscal forecasts five years out (the horizon for judging the fiscal rules) would be roughly unchanged.

By contrast, a significant change to the OBR's potential growth forecast would have large implications for its verdict on fiscal sustainability. For example, lower potential growth would imply a lower GDP forecast five years ahead, and therefore a persistently weaker revenue outlook. Given the public spending plans, this would imply a higher outlook for the deficit and debt. A lower GDP forecast would also reduce the denominator of the debt-to-GDP ratio, hence further raising that ratio.

Estimates of potential growth are inherently uncertain, but it's notable that the OBR's current projections (average of 1.6%-1.7% y/y for 2025-2029) are at the top end of the range of forecasts. The average of other forecasts, covering the IMF, OECD, Bank of England, consensus, and Oxford Economics, is that potential growth will average 1.4% y/y for the next few years, roughly 0.25ppts per year below the OBR.

Chart 2: The OBR's forecasts for potential GDP growth are optimistic compared to others

UK: Forecasts for potential GDP growth
% y/y average



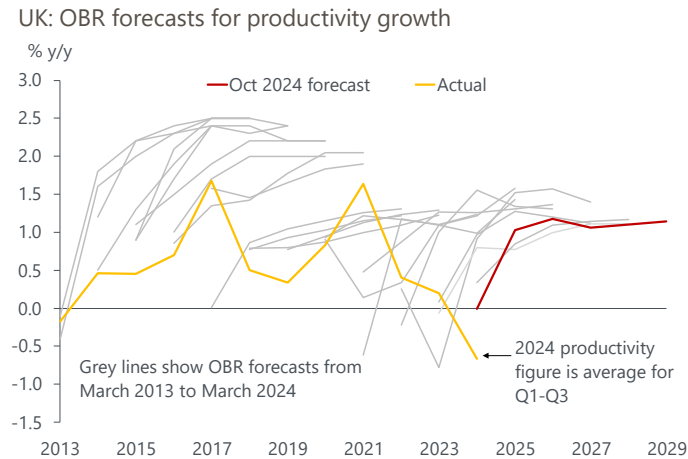
Source: Oxford Economics / Haver Analytics

Within that, most forecasts have similar figures for labour supply, typically based on [ONS population projections](#) and trends in workforce participation rates (adjusted for factors such as changes to the state pension age). Differences in potential growth forecasts therefore chiefly reflect differing forecasts for productivity growth. The OBR's view is that productivity growth (GDP per hour) will rise from an average of 0.6% y/y in 2010-2019, and probably a negative figure in 2024, to an average of 1.1% y/y in 2025-2029. By contrast, the average of external forecasts (taking the IMF, OECD, BoE, and Oxford Economics) is that productivity growth over that period will remain around 0.6% y/y.

Very little of the OBR's expected productivity pickup reflects higher investment, including the extra public investment announced in the late-2024 Budget, because this has only a very small effect on capital stock growth in such a short period. Rather, the OBR's forecast of higher productivity growth mainly reflects higher growth of total factor productivity (TFP), which measures the efficiency with which stocks of labour and capital are used to generate output.

The OBR has not published a clear explanation of what drives its productivity forecast. It seems to reflect a view that productivity growth should recover at some point, rather than a structural analysis of factors likely to affect it over the next five years. The OBR's productivity forecasts have been repeatedly over-optimistic over the last decade, and in our view its latest forecasts appear to elevate hope over experience.

Chart 3: The OBR's productivity forecasts have been repeatedly over-optimistic



Sources: Oxford Economics/Haver Analytics

To be sure, external forecasts for productivity growth in recent years have also generally been over-optimistic. The full reasons behind the persistent low productivity growth are still not clear, and any forecast would be highly uncertain. The OBR should incorporate the new population projections [published in January](#), which assume higher net inward migration and will provide some offset against any TFP downgrades. Nevertheless, it seems imprudent for official fiscal forecasts to rely on a much higher productivity forecast than expected by outside groups – especially given the record of repeated disappointment – without a strong and compelling reason to take such a different view.

The OBR's credibility rests on its ability to publish honest fiscal forecasts given a reasonable and unbiased outlook for the economy, rather than having a superior ability to estimate potential growth. A downgrade in the OBR's potential growth outlook would not necessarily be a verdict on the current government's policies; it could also be viewed as correcting previous over-optimism from before the election.

To highlight the effect of a lower potential growth forecast, we have constructed the following scenario:

- The OBR cuts its potential growth forecast for 2025-2029 to match the average of the IMF, OECD, BoE, consensus, and Oxford Economics in each year. This works out as an average downgrade of 0.25ppts per year, but with a slight variation between years (for example, the downgrade for 2025 is 0.4ppts, that for 2026 is 0.1ppts). We assume this all reflects lower productivity growth rather than lower employment.
- Assuming (as usual) that the output gap closes five years ahead, this implies that the level of real GDP in 2029 will be roughly 1.25% below the OBR's late-2024 forecast. This downgrade applies to all real and nominal aggregates, including pay growth (consistent with lower productivity growth).
- Inflation is assumed to match the OBR's late-2024 forecast.
- Bond yields and the market path for Bank Rate are at current levels; no other changes.

Using the [OBR's fiscal ready reckoner](#), this change would raise borrowing in 2029/30 by £20bn (0.6% of GDP), compared to the October 2024 Budget forecasts, mostly reflecting lower revenues but with some rise in interest payments (including the effect of higher bond yields). It would add £61bn (1.8% of GDP) to the public sector net financial liabilities (PSNFL) target debt measure in 2029/30. The debt ratio would still fall in 2029/30, but the current balance would be in a £10bn deficit. Fiscal tightening of £20bn (more than the government raised through the NICs hike in last October's Budget) would be needed to restore fiscal headroom to the £9.9bn level in the late-2024 Budget.

Wild card 2: Will the OBR lift its inflation forecast and alter the split of nominal GDP?

Another area where the OBR's late-2024 forecasts could change is its inflation outlook, and the split of nominal GDP between pay and profits. Even quite minor differences in the outlook for prices, pay, and profits can imply a [markedly different outlook](#) for the fiscal position. Higher inflation (assuming it is mirrored in the GDP deflator) would produce higher tax revenues. And a different split of GDP (higher pay, lower profits) would also lift tax revenues because the effective tax rate on labour income is much higher than that on profits.

The OBR's late-2024 forecast was that CPI inflation will be 2.6% this year and close to the 2% target in 2026-29, with relatively low pay growth (3.6% y/y in 2025 and averaging 2.2% y/y in 2026-29). This forecast assumes pay growth this year will be significantly depressed by the hike in employers' NICs, while in later years pay is depressed as companies rebuild margins. The OBR forecast that profits will outpace pay (rising 3.0% y/y in 2025, around 5% y/y in 2026-2029), with the labour share in GDP falling and the profit share rising from 2026 onwards.

However, a higher path for prices and – especially – pay seems more plausible in our view.

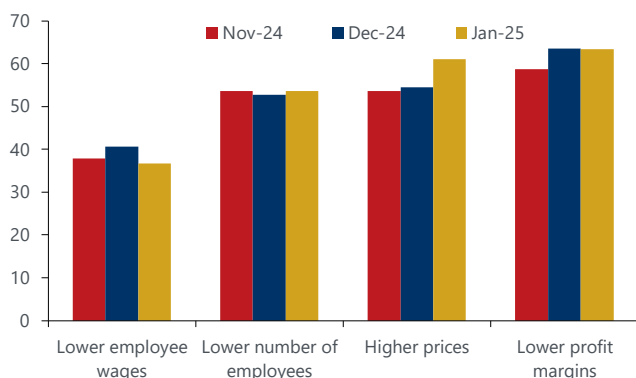
In Q4 2024, both pay and broad inflation measures markedly overshoot the OBR's baseline. Total compensation of employees rose 7.3% y/y (versus the 5.1% OBR forecast) while the GDP deflator rose 4.2% y/y (2.8% OBR forecast).

Most recent external forecasts are for pay and prices to continue to overshoot the OBR forecasts. This seems to partly reflect different expectations for the impact of the NICs hike. In particular, recent surveys by the BoE decision makers' panel (DMP), which were not available when the OBR made its forecasts, cast doubt on the OBR's assumption that the NICs hike will be chiefly passed on to lower nominal wages. These surveys suggest there will also be significant passthrough to higher prices and lower profits, as well as lower employment. Further ahead, if, as seems likely, growth remains modest and the labour market remains tight, then the sustained rise in the profit share (and decline in the labour share) assumed by the OBR may not materialise.

Chart 4: Firms report that the response to the NICs hike will differ from the OBR's assumption

UK: How firms intend to respond to the NICs hike in the Budget

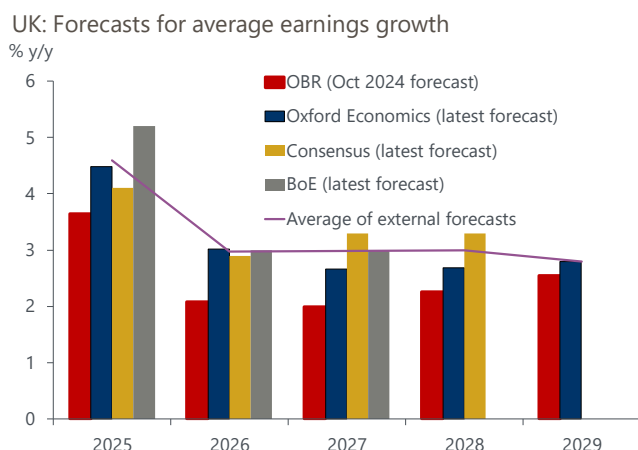
% of firms citing each answer



Source: Oxford Economics / Haver Analytics

In all, the BoE's forecasts are that CPI inflation will be 0.8ppts above the OBR forecast this year and 0.4ppts above it next year (the OE forecasts are for overshoots of 0.4ppts and 0.3ppts). Moreover, the average of forecasts by the BoE, OECD, consensus, and Oxford Economics is for y/y pay growth in 2025-2029 to be 0.8ppts above the OBR forecast, implying a total overshoot in the level of pay in 2029 of 3%-4%.

Chart 5: The OBR's forecasts for pay growth are relatively low



Source: Oxford Economics / Haver Analytics

To illustrate the effects of variations in these nominal aggregates, we have constructed another scenario, which consists of the following:

- The rise in the GDP deflator is 1.0pp above the OBR forecast in 2025, 0.5ppts above it in 2026 and in line thereafter. CPI inflation is 0.5ppts above the OBR forecast in 2025 and 0.25ppts above it in 2026.
- The profit share in GDP does not rise above the level projected by the OBR for 2024, mirrored in a smaller fall in the labour share in GDP than the OBR project. Combined with the first assumption, annual pay growth is 0.5ppts above the OBR's forecast on average, but with some variation from year to year, and profit growth is below the OBR forecasts. Note this would still leave pay growth this year and in later years slightly below the average of external forecasts. The erosion of real wages from the NICs hike would partly occur through higher inflation rather than (as in the OBR forecast) mainly through lower nominal wage growth.
- Real GDP and potential GDP are in line with the OBR's forecast.
- The market path for interest rates and bond yields is in line with current levels.

Using the OBR's ready reckoner, this scenario leaves the fiscal deficit in 2029/30 £19bn (0.6% of GDP) below the October 2024 Budget forecast, despite the rise in bond yields since that Budget. The improvement is more than accounted for by higher revenues, with slight increases in public spending (including effects from the recent rise in bond yields). In real terms, public spending would be below the previous plans, and this disguised real-terms erosion of the spending plans is a key reason why the fiscal outlook would improve. In this scenario, both the current balance target and debt target are met in 2026/27 and later years. Headroom against the fiscal rules in 2029/30 is £19bn, which is £9bn greater than in the March Budget forecast. To put it a different way, this scenario would allow the government to loosen fiscal policy by £9bn and have the same headroom as in the last Budget.

What if we get both changes?

The two scenarios roughly cancel out. If both are implemented (along with the rise in bond yields), fiscal headroom in 2029/30 would be £10bn, very similar to the level in the October 2024 Budget.

The [OE forecast](#) has elements of both scenarios 1 and 2, along with other changes. Higher inflation and higher pay growth cause nominal revenues to overshoot markedly versus the OBR forecasts, while an eventual drop in interest rates to well below the current market curve limits debt interest outlays. As a result, the OE baseline is that the fiscal deficit will undershoot the OBR forecasts, even with some slippage on spending (to partly compensate for higher inflation).

What will the OBR do in the Spring Forecast?

The OBR forecasts for potential output and pay growth are both outliers compared to other forecasts, but with differing implications for the fiscal outlook. We regard the broad shape of both scenarios (lower potential GDP growth, higher paths for inflation and nominal pay) as sensible and justified, although one could debate the exact scale of the various changes.

But in the March Spring Statement, the OBR could choose to do one of them, some combination of them, or neither and wait to see more evidence. In our view, the order of likelihood for these forecast changes in March is roughly as follows:

- Some upward revision to the OBR's near-term (i.e. 2025) pay and inflation forecasts seems inevitable, given recent news. Even if the forecasts for pay growth and inflation in later years are unchanged, the levels of pay and prices – and hence revenues – would be higher over the forecast period.
- A downgrade to the OBR's potential growth forecast is very possible but less certain at this stage. It seems justified by the disparity between OBR estimates and external forecasts, and the OBR's repeated over-optimism over productivity growth. Nevertheless, such a change is not certain, and the OBR could opt to wait for more evidence.
- It seems less likely that the OBR will change its view on the nominal GDP between pay and prices in 2026-2029. The main case for a change in this assumption is that most outside forecasters do not share the OBR's judgement. However, unlike the near-term pay and prices forecast, there is not yet solid evidence either way. And, unlike its productivity growth forecasts, the OBR does not have a track record of one-sided errors in its pay forecasts.

One issue the OBR may consider is that it would be extremely disruptive to the government's fiscal process if it were to adopt without warning a significantly lower potential growth assumption a few weeks before the upcoming fiscal update (or any Budget), unless offset by other favourable revisions. Such a change could, as shown by scenario 1, oblige the government to rapidly decide and implement a large fiscal tightening at very short notice based on a highly uncertain forecast, or see the OBR forecast a significant breach of the fiscal rules.

Nevertheless, there is a credibility cost (for both the OBR and the fiscal framework) from basing fiscal plans on what appear to be highly optimistic potential growth forecasts. That cost is likely to grow over time. Moreover, if the OBR is considering a cut to its potential growth outlook, it would be better to flag it now, before the midyear Public Spending Review (which will set detailed public spending plans for the next few years), rather than just after it in the year-end Budget when it would be harder to alter those plans.

To address this, the OBR might choose to publish an alternative fiscal scenario as a central part of its March fiscal update, which shows the effects of bringing its potential growth outlook in line with the external consensus (like scenario 1 above). This could be combined with a statement that the OBR intends to do more work on the potential growth outlook before the end-2025 Budget, thereby giving the government ample warning that such a change may be on the way and giving policymakers the chance to ensure that their spending plans should be robust to such a change. This would be a sort of halfway step to actually cutting the potential growth forecast in the Spring Forecast.

What should the government do about these fiscal wild cards?

The OBR makes its economic and fiscal forecasts independently, and the government cannot oblige the OBR to change them. Moreover, it's important for fiscal credibility to maintain the framework of medium-term fiscal forecasts and targets. Such forecasts will always rely on judgement and contain uncertainties. Given this, the government should aim to ensure that its fiscal plans are robust to plausible changes in the forecast outlook. One way to achieve that is to build in greater headroom against the fiscal rules, so that modest changes to the OBR economic forecast do not necessarily trigger an abrupt fiscal change. The other is to have a stronger and more broad-based strategy to lift potential growth (see [here](#) for some proposals), so that risks of adverse forecast changes would diminish and favourable revisions would be more likely.